

Those who have been paying close attention to academic research might realize that value and small-cap investing may no longer offer good opportunities for abnormal profits. The same may be true of smart beta, which often turns out to be not very smart after all.

Under the old paradigm, investors who stand the best chance of succeeding are those using low-cost, passively managed index funds as recommended by Warren Buffett, Charles Schwab, John Bogle, Bernie Madoff (okay, forget Bernie Madoff), and others.¹ Yet passive index funds are still subject to large drawdowns. They also may still trigger emotional responses and create unwise investor behavior at inopportune times.

NEW INVESTMENT PARADIGM

In contrast to this old hit-and-miss paradigm, our new dual momentum paradigm puts us in harmony with market forces. It uses simple ideas that work in the real world and are easy to implement.

Due to myopic loss aversion and too much focus on short-term return variability, investors may hold more bonds than they should in order to maximize their long-run wealth. This aversion to equities has led to a higher equity risk premium.

With dual momentum, we can comfortably focus more on equities, especially U.S. equities, and capture this higher-risk premium. We still use fixed income with its lower expected return, but we use it primarily when equities are weak and it makes the most sense to hold bonds.

Our new paradigm uses relative strength momentum to enhance returns by taking advantage of intramarket trends. More importantly, our new paradigm uses absolute momentum to ensure that those trends are positive and to reduce the large drawdowns that would still exist if one used only relative momentum.

It is this elegant combination of relative and absolute momentum that translates overall into higher expected returns with lower expected risk. Dual momentum helps remove emotional and behavioral biases in others from the decision-making process. In fact, it allows us to take advantage of these biases instead of having them adversely affect us.